What is an ELSS?

If you pay income tax, you will be familiar with this product called the equity-linked savings scheme. You know that if you contribute to certain products, like the premium of a life insurance policy, or the public provident fund (PPF), or units of an ELSS scheme, you get a deduction from your taxable income. In June 2018, the benefit was Rs 1.5 lakhs.

An ELSS is an equity fund that gets this tax benefit. It has a three-year lock-in period, and you cannot exit before that. Remember *not* to tick the dividend or dividend reinvestment option in an ELSS. Go for growth. Work out why that is a good idea.

Balanced funds

As the name suggests a balanced fund is a hybrid. It's like a mango duet ice cream. The joy of mango along with vanilla ice cream on a stick! It remains one of my all-time favourite ice-cream bars. Right after the orange bar. Orange bars are the most … OK, sorry, back to funds.

Today there are three kinds of balanced funds – conservative, balanced and aggressive. Conservative funds have between 10 and 25 per cent in equity, balanced have between 40 and 60 per cent in equity and aggressive about 65–80 per cent in equity. Conservative balanced funds are also called monthly income plans (MIPs).

Remember that MIPs are not assured income schemes; they are just debt funds with a small crust of equity to give a slightly higher return than a pure debt fund. Balanced funds are a great first investment to make in order to taste equity funds. There are many other kinds of funds in the market. For a beginner, the discussion here is enough. Maybe I'll write a book just on mutual funds and dive deeper into all there is to know about smart investing in funds.

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